NVIDIA Corporation

NVDA NASDAQ

Hold	$202.59 ▼ 5.18%	12M Price Target	52-Week Range	Market Cap
		$235.00	$164.27 – $243.37	$4.89T

NVDA: Profit-Taking Hits Despite Still-Strong AI Setup

WHAT HAPPENED

- NVDA dropped 5.2% today on heavy volume (80M+ shares) with no company-specific headline — that's a tell. When a mega-cap falls hard on no news, it's usually profit-taking + mechanical selling (options hedging, momentum funds de-risking) rather than a fundamental story breaking. The stock had quietly drifted from $216 to $213 all week, then cracked today — classic distribution pattern.
- The options tape is screaming caution: massive put buying at $205, $207.5, and especially $202.5 (that last one had 29x the existing open interest — meaning traders aggressively opened fresh bearish bets right at today's price). Someone with size is either hedging a huge long position or betting on more downside into month-end.

WHY IT MATTERS

Here's what I think is really going on: defensive sectors (Staples +1.8%, Utilities +1%, Healthcare +1%) ripped today while tech sold off — that's a textbook "risk-off" rotation, meaning big money is trimming winners and parking cash in safer names heading into month-end and earnings season. NVDA is the biggest winner of 2026, so it gets sold first when funds lock in gains. The bigger implication: at a $4.9T market cap, NVDA now moves on macro and policy more than on its own numbers — it's become a proxy for the entire AI trade. Watch whether the $200 level holds; if it breaks, the next technical support is probably the $185-190 zone where buyers stepped in during the summer.

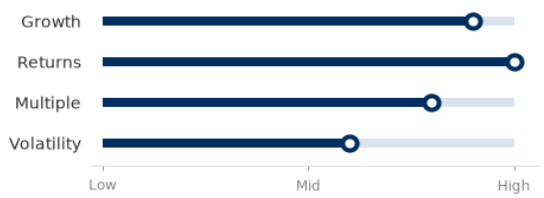
POLICY & POLITICAL WATCH

Two things on my radar right now: (1) The Trump administration's ongoing China chip export framework — there's been chatter about allowing a watered-down Blackwell chip into China in exchange for trade concessions, which would be a positive catalyst if it happens, but any hardening of restrictions is the single biggest risk to the stock. (2) The data center permitting and power bill working through Congress — faster permitting for AI data centers is a direct tailwind because NVDA's customers (Microsoft, Meta, Oracle, etc.) can't deploy chips they can't power. Also watch the AI Diffusion Rule 2.0 discussions — if tier-2 countries get easier access to US chips, that's a demand unlock worth billions.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$202.59**
12M Price Target	**$235.00**
Upside / (Downside)	**+16.0%**
Market Cap	**$4.89T**
FY2026E Revenue	**$215M**
FY2027E Revenue	**$285M**
FY2026E EPS	**$4.85**
FY2027E EPS	**$6.40**
Fwd P/E	**41.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NVDA — NVIDIA Corporation | October 30, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$220.00**	$208.00	**$190.00**
6 Months	**$260.00**	$230.00	**$180.00**
1 Year	**$285.00**	$235.00	**$165.00**
2 Years	**$340.00**	$270.00	**$150.00**
5 Years	**$500.00**	$350.00	**$180.00**
10 Years	**$800.00**	$500.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples, Utilities, Healthcare — classic defensive rotation. Utilities specifically are interesting because they're both defensive AND an AI play (data centers = electricity demand), so money is finding a "safer" way to play the same theme.

COOLING OFF: Mega-cap tech and semis today — not because the story broke, but because they got too crowded and funds are locking in year-to-date gains before November.

ROTATION WATCH: Money is moving from "offense" (semis, software) to "defense + AI-adjacent" (utilities, nuclear, grid infrastructure). This is actually a healthy rotation — the AI theme isn't dying, it's just broadening.

RELATED PLAY: If you believe in NVDA long-term but want a less crowded trade, look at the power/grid names (VST, CEG, GEV) — they're the ones who literally keep NVDA's chips running, and they've been quietly outperforming.

WHO'S WINNING IN THIS SPACE?

- XLU (Utilities ETF): Winning because of the AI power-demand story + defensive bid — the perfect "both worlds" trade right now.
- XLV (Healthcare ETF): Benefiting from the risk-off rotation and relatively cheap valuations after a weak 2025.

NVDA CONTEXT: NVDA is LAGGING today in a big way — the broader market was up or flat and NVDA dropped 5%. That's a short-term warning sign (someone's selling with urgency), but zoom out: NVDA is still up massively year-to-date, so this looks more like gravity catching up with an overextended winner than a change in trend. I'd want to see one more day of selling to confirm whether this is a 3-day flush or the start of something bigger.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $190-200 on continued pullback

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler capex guidance cut, or hard China export ban on Blackwell successors

Hedging: Buy Jan puts at $185 strike, or pair with SMH short

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